BMW Group: how it makes money, and is it improving?

UNFINISHED

1. Summary (2 to 3 sentences). For example: BMW is large and still profitable, but it earns much less on each euro of sales than two years ago, and its cash generation has weakened more than its profit.

2. How BMW makes money

- Automotive is the bulk of revenue (about €117.6bn) and profit before tax (about €5.9bn).
- Financial Services (loans and leases) has revenue of about €39.8bn and profit before tax of about €2.4bn. It grew while cars shrank.
- Motorcycles are small (about €3.1bn revenue).
- One sentence on why the finance arm matters: it's steadier, but it also inflates the balance sheet.

3. Is it getting better? The margins

- Revenue is down about 14% from the 2023 peak of €155.5bn to €133.5bn.
- Operating margin fell from 11.9% (2023) to 7.5% (2025). Use 2023 as your starting point, because 2022's pre-tax margin looks inflated by a one-off (see section 7).
- My calculation: about two thirds of the profit drop came from lower margins, only one third from lower sales.
- BMW's own target for Automotive EBIT margin is 8 to 10%, and it reported 5.3% for 2025.

4. Profit versus cash

- Operating cash flow was €8.2bn against pre-tax profit of €10.2bn, partly because working capital absorbed about €8.9bn.
- Capital spending was about €11bn, so group free cash flow was negative (-€2.7bn), while the report's Automotive free cash flow was +€3.2bn.
- Shareholder payouts (dividends plus buybacks) were about €3.9bn, more than the car business's free cash flow.

5. Balance sheet (2 sentences)

- Debt to equity is about 0.92, but most debt funds the finance arm's loans, so it overstates the strain on the car business.
- Equity has grown each year, from €87.1bn to €95.7bn.

6. Risks to watch

- China competition, tariffs, and the success of the NEUE KLASSE launch.
- S&P's negative outlook on BMW's credit rating.
- Whether margins return towards the 8 to 10% target.

7. Open questions and data caveats

- Yahoo mislabelled profit before tax as “Net Income From Continuing Operations”, so cross-check key rows with the report.
- Yahoo’s operating income differs slightly from BMW’s own EBIT.
- The 2022 pre-tax profit looks boosted by a one-off. I think it was the Chinese joint venture, but that’s from memory, so verify it in the report before stating it.
- Why did debt jump by about €14bn in 2024? Haven’t answered that yet.